

China Economic Comment

April data weakness driven by administrative policy

April data surprised significantly on the downside. Administrative policy tightening was likely the key driver. Administrative loosening to reverse the slowdown is expected.

April activity data surprised significantly on the downside.

This year is the start of the 5 Year plan, having a strong start is a key policy goal.

There were likely some front-loading activities in 1Q, especially in terms of state-led investments. After the strong start of the year, policy makers became more confident about the economic outlook. **Administrative policy stance turned effective less supportive** with greater emphasis on (1) not setting over ambitious economic goals and reaching them by making wasteful mega investment projects which tend to be debt intensive, and (2) over report data when these overly ambitious goals could not be achieved. At the same time, officials were told not to "sit idle" either. Therefore, the incentive facing officials on the ground is to "do something but not too much". But the actual penalties imposed on officials recently have been tilted towards those who had wrongdoings, instead of no actions. This can potentially explain why despite the PBOC's significant loosening of interbank liquidity, credit growth has been weak.

This mechanism is the main reason why in recent years we often have an intra-year mini cycle, with strong 1Q, weaker 2Q, then policy turns sometime in 3Q, then 4Q rebounds. Market forecasts on annual growth tends to go up after 1Q data releases, go down after 2Q releases and then go back up towards the end of the year. Whether we see a repeat of this remains a question. **An immediate adjustment to the tightening overshooting is needed.** One good thing compared to earlier years is the PBOC has been keeping liquidity conditions very loose since April, in light of weak credit growth. The magnitude and breath of April slowdown is so significant that we expect administrative policy to respond without the need to wait for the next senior level regular policy meeting. The difficulty with this kind of policy change is it is hard to gauge and impossible to quantify an ante. Even with a reversal in policy stance, weakness in April suggests Q2 GDP growth is likely under pressure.

Data anomalies will likely pose additional difficulties as it was the case with FAI data in 2H2025. In general, data under GDP accounting (e.g. Gross Capital Formation under GDP instead of Fixed Asset Investment Completed; Consumption under GDP instead of Retail Sales), foreign trade, and money and credit are of relatively higher quality. Micro data such as the units of specific products are of particular importance to gauge the underlying momentum.

We don't expect higher inflation to be a hurdle for policy adjustment for two reasons: (1) CPI is way more important than PPI and it remains low despite the rise in energy price; (2) the level of weakness in April is such that if no actions were taken the lower bound of the annual GDP target can be missed. GDP is by far the most bidding economic target, especially at the start of a 5-Year Plan period.

Higher oil price and the scaling back of consumption subsidy program also made a negative contribution but they come only secondary to the impacts of administrative changes. But they are mostly relevant for retail data and cannot explain the broad data weakness.

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Figure 1: April data overview

	Growth (%y/y)			Sequential (% MoM Saar)	
	Q1 2026	Mar 26	Apr 26	Mar 26	Apr 26
Industrial value added (IP)	6.1	5.7	4.1	2.7	-15.5
Service Production Index	5.1	5.0	4.3	0.1	-2.5
Retail sales	2.4	1.7	0.2	-3.2	-6.0
Fixed asset investment	1.7	1.6	-8.0		
# Manufacturing FAI	4.1	4.9	-4.3		
# Infrastructure FAI	9.2	8.9	-3.7		
# Real estate development FAI	-11.2	-11.3	-20.1		
Property sales (floor space)	-10.4	-7.4	-9.5	66.7	-22.4
Property new starts (floor space)	-20.3	-17.4	-26.6	40.2	-59.3
Exports (in USD)	14.7	2.5	14.1	-9.3	32.4
Imports (in USD)	23.0	28.1	25.3	18.3	54.2
CPI	0.8	1.0	1.2	0.3	4.2
PPI	-0.6	0.5	2.8	11.8	24.0
TSF growth	7.9	7.9	7.8	12.3	4.3

Source: CEIC, UBS estimates

Property activities weakened in April. Property sales declined by -9.5% YoY in April and new starts declined -26.6% YoY, both were softer than March (-7.4% and -17.4% YoY, respectively). After seasonal adjustment, property new starts and sales volume edged down further from March, while that of sales remains slightly above Q1 average. Property investment growth declined by -20.1% YoY, deeper than the March contraction. Meanwhile, property prices reported slightly narrower sequential decline in March, with that of tier 1 cities maintaining positive sequential momentum.

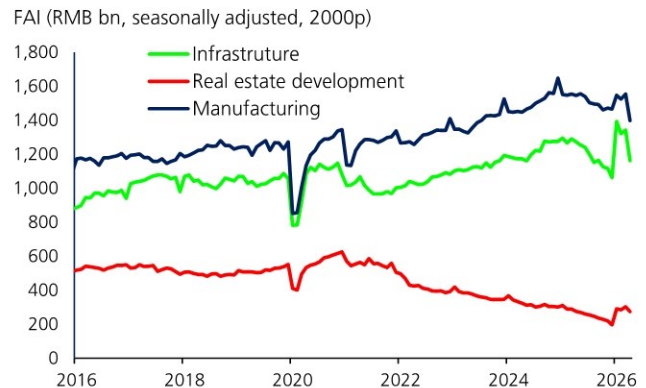
FAI growth contracted YoY again in April. April FAI growth dipped into contraction again (-8% YoY, from +1.6% YoY), with YTD growth recording a much-weaker-than-market-expected -1.6% YoY (vs Bloomberg average of 1.7%). All major components declined YoY – manufacturing by -4.3% YoY, infrastructure by -3.7%, real estate by -20% YoY, and the rest of sectors by -12% YoY. As we had pointed out, investors should be cautious when reading FAI data (see [here](#)).

Figure 2: Property sales and new starts volume both dipped down sequentially in April



Source: CEIC, UBS estimates

Figure 3: FAI growth contracted YoY again in April



Source: CEIC, UBS estimates

Retail sales decelerated to 0.2% YoY from 1.7% in March, contracting by -6% MoM Saar on a sequential basis. The April reading missed Bloomberg expectation of 2% YoY. The weakness was mainly due to goods retail sales, while catering sales growth slowed only modestly YoY. Among major products, sales of communication appliance decelerated notably, and sales of gold/silver/jewelry turned into YoY contraction. Sales of petroleum products declined by -6.5% YoY despite a low base, partly reflecting the impact from higher oil prices. Unemployment rate edged down seasonally, and stayed largely stable after seasonal adjustment.

Exports beat expectation again in April. Export growth accelerated to 14.1% YoY in April, compared to the prior 2.5% YoY and expectation (BBG average 8.4%/UBSe 12%). We estimate the seasonally adjusted export levels expanded by around 2.4% MoM in April (32% MoM Saar) following a nearly 1% contraction in March. Sequential shipment to most destinations expanded. Shipments of tech exports expanded further sequentially (0.5% MoM), despite already strong gains in March and earlier months. Non-tech exports also saw broad-based strength. Meanwhile, **import growth moderated to a still resilience pace** of 25.3% YoY in April, compared to 27.8% in March, while its sequential growth stayed strong (54% MoM Saar). Commodity import value growth accelerated, which we assess is largely driven by price and base effects and some supports from soya bean imports, while import volume of major commodities declined. Imports of IT components remained strong, consistent with resilience in tech-related exports. See [more](#).

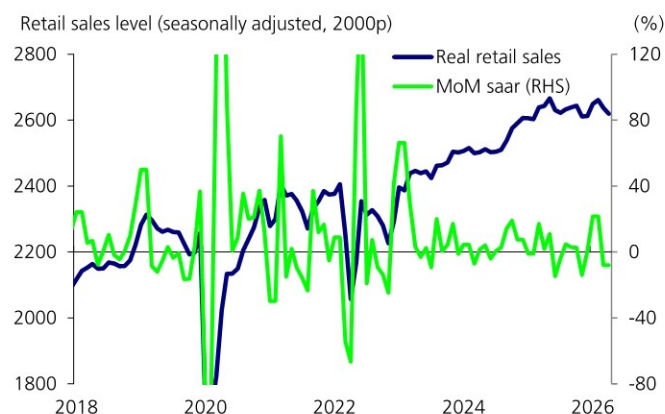
On the production side, both industrial and service production growth decelerated YoY and contracted sequentially. IP growth slowed to 4.1% YoY in April from 5.7% in March, weaker than market expectation of 5.9% YoY. The official data suggests sequential growth momentum decelerated to 0.6% MoM Saar from 3.4% in March, while our estimate showed a -15.5% MoM Saar contraction after 3% MoM Saar in March. The YoY deceleration was broad based, though that of communication appliances/electronic equipment remained strong at 16% YoY. Service production index decelerated to 4.3% YoY in April (vs 5% in March), with sequential growth also turning negative (-2.5% MoM saar, vs 0.1% in March).

Figure 4: Industrial and service production growth decelerated YoY and contracted sequentially



Source: CEIC, UBS estimates

Figure 5: Retail sales softened YoY in April and declined sequentially



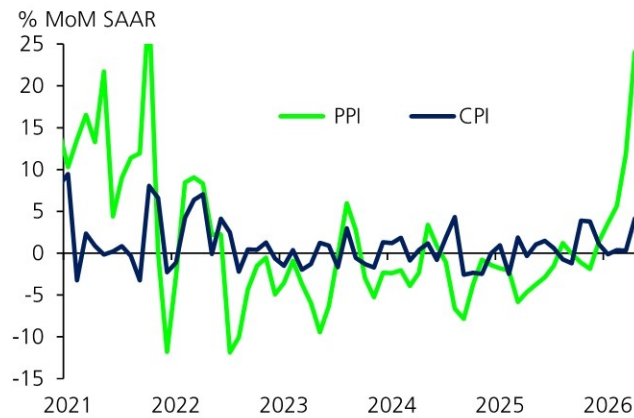
Source: CEIC, UBS estimates

PPI jumped to 2.8% YoY in April (24% MoM Saar), significantly exceeding market consensus of 1.8% YoY. The sharp acceleration was primarily driven by a rapid rise in oil and gas prices, alongside notable gains in chemical product prices. Meanwhile, **CPI edged up to 1.2% YoY in April** from 1.0% previously (vs market expectation of 0.9% YoY), with sequential momentum rising to 4.2% MoM Saar (vs 0.3% in March). The surge in fuel prices was the dominant driver (17.4% YoY). Food prices YoY growth declined to -1.6%. Core CPI rose to 1.5% MoM Saar (vs. -0.3% MoM Saar previously), with YoY growth ticking up by 0.1ppt to 1.2% YoY. See [more](#).

New RMB loans turned negative again in April; credit growth slowed further.

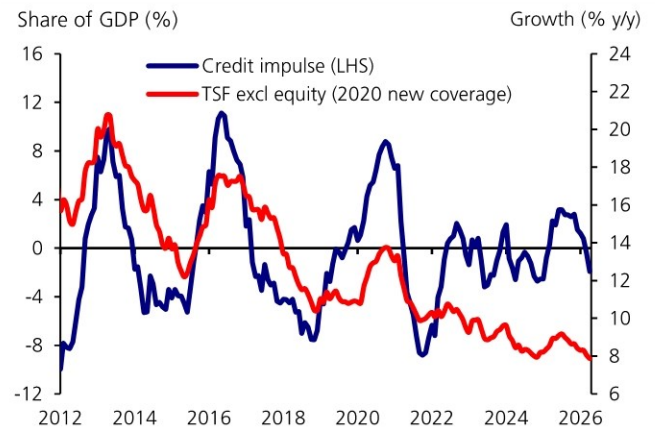
New RMB loans contracted to RMB 10bn in April, weaker than market expectation (BBG average 300bn) and a year ago (-290bn YoY). Both M&L corporate and M&L household loans saw notable contraction, indicating soft credit demand. Bill financing picked up likely on policy push, but it was not enough to offset weakness elsewhere. New TSF also came in softer than market expected (at RMB 625bn, -535bn YoY), with slower sequential momentum. Official credit growth slid by 0.1ppt to 7.8% YoY (4.3% MoM Saar), while credit impulse turned more negative. See [more](#).

Figure 6: PPI rebounded notably sequentially



Source: CEIC, UBS estimates

Figure 7: Credit growth softened YoY



Source: CEIC, UBS estimates

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